

Big deal: On the U.S.-China trade deal

The U.S.-China trade deal will have **implications** for India

The trade **agreement** between the U.S. and China, the two biggest **economies** in the world, **serves** as a **breather** in an otherwise **tense** global trade environment. The U.S. has agreed to temporarily lower, for 90 days, its overall tariffs on Chinese goods from 145% to 30%, while China will cut its **tariffs** on American imports from 125% to 10%. Markets across the world **cheered** the announcement, jumping between 2%-3.8% **following** the news. The **thaw** comes **on the back of** tensions and tariffs being **ratcheted up** by both sides, starting with U.S. President Donald Trump's February 1 announcement of a varying tariff on imports from China, Mexico and Canada. **Notably**, he excluded China from the 90-day pause on 'reciprocal' tariffs announced in early April. One **way** to look at this latest **development** **is** that it shows Mr. Trump is **backing down** from his tariff **war-footing**, **acknowledging** the importance of China to the U.S. economy. **Indeed**, the joint **statement** by both countries **begins** by mentioning "the importance of their **bilateral** economic and trade relationship". However, another view is that his **heavy-handed** approach has **succeeded in** convincing China to **come to the negotiation table**. Tariffs of 145% were **unsustainable** but served their purpose. The fact also is that Mr. Trump's main **grievance**, of a **ballooning trade deficit** with China, **remains unaddressed**. The two sides have agreed to continue talks, which will be **key** in determining whether this **seemingly intractable** problem can be worked around or **result in** tensions again.

For India, this brings both **uncertainties** and certainties. If further **talks** between the U.S. and China **are** successful, investors who have moved to other countries will likely start viewing China favourably again. The **advantages** of manufacturing there — scale and costs — **are** still significant. The China+1 **model**, which India in any case has not been able to **leverage** adequately, **might** start to **lose its sheen**. The other uncertainty is around India's own trade talks with the U.S. It has now informed the World Trade Organisation of **potential** reciprocal measures to the U.S.'s increased **duties** on steel and aluminium imports. Even though **talks** on a U.S.-India trade deal **are** ongoing, this latest statement shows that tensions remain high. The certainties are **two-fold**. The first is that India's trade deficit with China remains **vast** and rising, and the U.S.-China agreement will not reduce this. 'Make in India' is currently **inextricably** linked to 'Import from China'. The second certainty carries over from the first. The Centre must **lean heavily on** States to adopt labour and land reforms that can allow **scalable** manufacturing to become cost-effective here. Without this, India will remain dependent on Chinese imports, **regardless of** its dealings with the rest of the world.

[Practice Exercise]

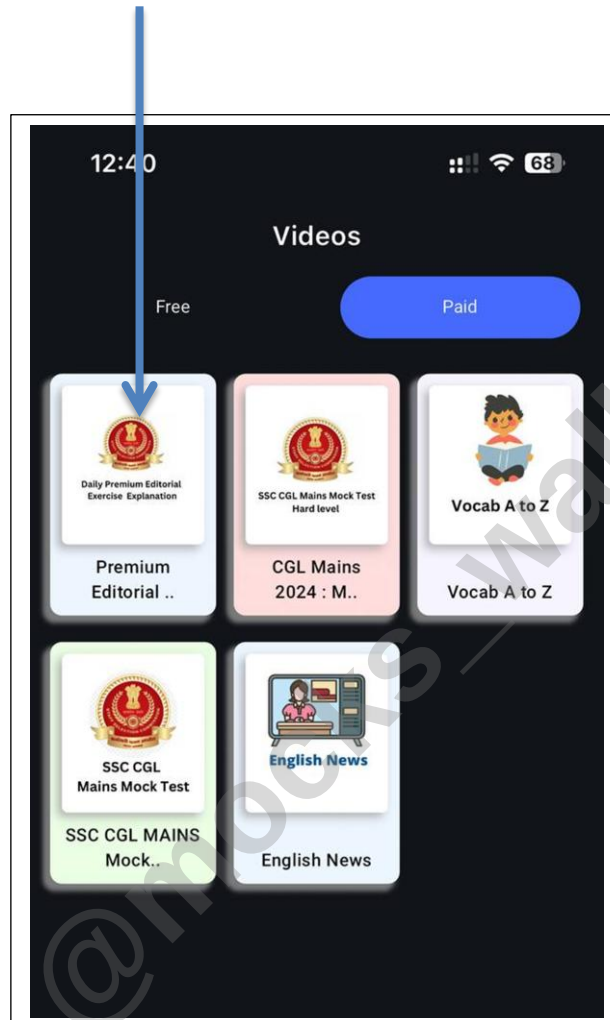
- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.
- **Thaw** (noun) – an increase in friendliness or cordiality. सौहार्द

Vocabulary

1. **Implication** (noun) – consequence, result, effect, impact, significance निहितार्थ / प्रभाव
2. **Economies** (noun) – Countries in terms of GDP अर्थव्यवस्थाएँ
3. **Breather** (noun) – break, pause, relief, rest, respite राहत / विराम
4. **Tense** (adjective) – strained, anxious, nervous, stressful, uneasy तनावपूर्ण
5. **Tariff** (noun) – duty, tax, levy, charge, customs शुल्क
6. **Cheer** (verb) – applaud, celebrate, rejoice, welcome, approve खुश होना / उत्साहित होना
7. **Following** (preposition) – after, subsequent to, as a result of, in the wake of, in the aftermath of के बाद
8. **On the back of** (phrase) – as a result of, following, due to, because of, stemming from के कारण / के चलते
9. **Ratchet up** (phrasal verb) – increase, escalate, intensify, heighten, boost धीरे-धीरे बढ़ाना
10. **Notably** (adverb) – especially, particularly, significantly, markedly, prominently विशेष रूप से
11. **Development** (noun) – event, change, progress, advancement, occurrence घटनाक्रम
12. **Back down** (phrasal verb) – retreat, withdraw, concede, yield, relent पीछे हटना
13. **War-footing** (noun) – state of readiness, combat stance, aggressive posture, military stance, preparation for conflict युद्ध स्थिति
14. **Acknowledge** (verb) – admit, recognize, accept, concede, affirm स्वीकार करना
15. **Indeed** (adverb) – in fact, truly, certainly, really, surely वास्तव में
16. **Bilateral** (adjective) – two-sided, mutual, reciprocal, joint, involving both parties द्विपक्षीय
17. **Heavy-handed** (adjective) – harsh, forceful, authoritarian, oppressive, severe कठोर / सख्त
18. **Succeed in** (phrasal verb) – manage to, accomplish, achieve, prevail in, attain सफल होना
19. **Come to the table** (phrase) – begin talks, start negotiations, join discussions, engage in dialogue, open negotiations बातचीत के लिए तैयार होना
20. **Unsustainable** (adjective) – unviable, unworkable, impractical, unmanageable, excessive टिकाऊ नहीं / अस्थिर
21. **Grievance** (noun) – complaint, objection, resentment, dissatisfaction, protest शिकायत / नाराज़गी

22. **Ballooning** (adjective) – increasing, growing rapidly, expanding, swelling, escalating तेजी से बढ़ता हुआ
23. **Trade deficit** (noun) – import surplus, negative balance, export shortfall, trade gap, imbalance व्यापार घाटा
24. **Unaddressed** (adjective) – unresolved, ignored, unattended, neglected, overlooked अनसुलझा / जिस पर ध्यान न दिया गया हो
25. **Key** (adjective) – crucial, essential, important, vital, significant प्रमुख / महत्वपूर्ण
26. **Seemingly** (adverb) – apparently, outwardly, superficially, evidently, allegedly प्रतीत होता है कि / दिखाई देता है
27. **Intractable** (adjective) – stubborn, difficult, unmanageable, unresolvable, rigid जटिल / कठिन
28. **Result in** (phrasal verb) – cause, lead to, bring about, produce, give rise to का कारण बनना
29. **Uncertainties** (noun) – doubts, unpredictability, risks, unknowns, vagueness अनिश्चितताएँ
30. **Leverage** (verb) – utilize, exploit, capitalize on, make use of, harness लाभ उठाना
31. **Lose one's sheen** (phrase) – become less attractive, lose appeal, fade, decline, tarnish चमक खो देना
32. **Potential** (adjective) – possible, likely, prospective, probable, latent संभावित
33. **Duty** (noun) – tariff, tax, levy, charge, excise कर / शुल्क
34. **Two-fold** (adjective) – dual, double, in two parts, bifold, binary दोहरा / द्वैतीय
35. **Vast** (adjective) – huge, enormous, immense, extensive, massive विशाल
36. **Inextricably** (adverb) – inseparably, inevitably, indivisibly, inescapably, tightly अभिन्न रूप से / गहराई से जुड़ा हुआ
37. **Lean (on)** (verb) – rely on, depend on, press, urge, count on निर्भर रहना / ज़ोर देना
38. **Scalable** (adjective) – expandable, adaptable, flexible, replicable, growth-capable विस्तार योग्य / बढ़ाने लायक
39. **Regardless of** (phrase) – despite, notwithstanding, even if, without considering, in spite of की परवाह किए बिना

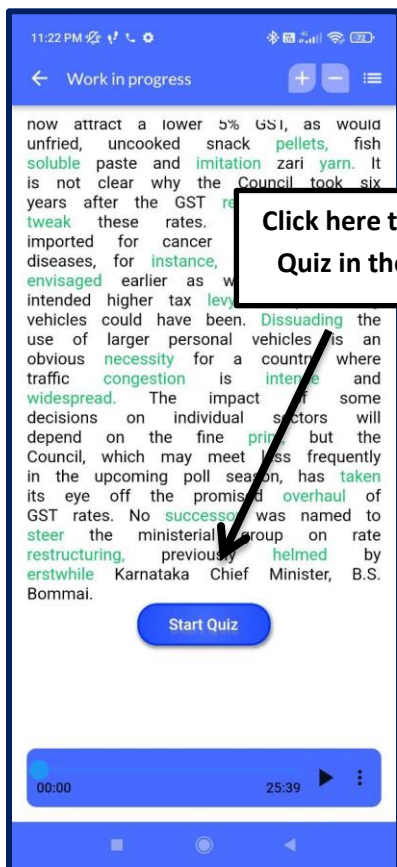
Video solution of Practice Exercise from this Editorial is exclusively available on App.



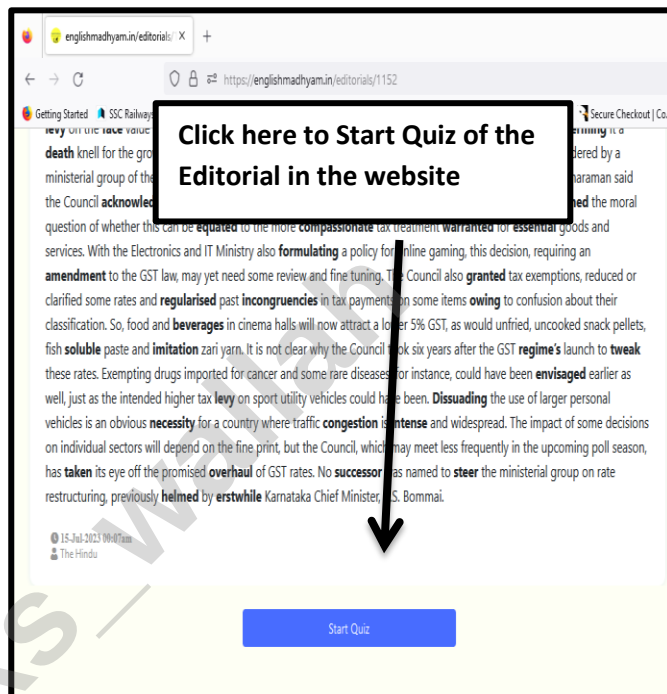
Summary of the Editorial

1. Temporary Truce: The U.S. and China have agreed to temporarily reduce tariffs, easing global trade tensions.
2. Tariff Reductions: U.S. tariffs on Chinese goods dropped from 145% to 30%, and China's tariffs on U.S. imports reduced from 125% to 10% for 90 days.
3. Market Reaction: Global markets responded positively, rising 2% to 3.8% following the deal.
4. Background of Conflict: The deal follows months of escalated tariffs, starting with Trump's tariff hike in February.
5. China Excluded Earlier: Initially, China was excluded from a 90-day pause on reciprocal tariffs in April.
6. Trump's Approach: The deal may suggest Trump is softening his stance, recognizing China's economic significance.
7. Alternate View: Others believe Trump's tough tariffs forced China into negotiations, thus vindicating his strategy.
8. Trade Deficit Unresolved: The key U.S. concern — its growing trade deficit with China — remains unresolved.
9. Talks to Continue: Future negotiations will be crucial in determining whether this is a temporary pause or a step toward resolution.
10. Impact on India – Uncertainty: If U.S.-China ties improve, foreign investors may return to China, reducing India's appeal in the China+1 strategy.
11. India's Missed Opportunity: India has struggled to benefit from the China+1 model due to structural issues.
12. India-U.S. Trade Tensions: India has notified the WTO of possible reciprocal tariffs in response to U.S. duties on steel and aluminium.
13. Ongoing Negotiations: India and the U.S. are still in trade discussions, but the atmosphere remains tense.
14. Persistent Trade Deficit with China: India's trade imbalance with China is large and growing, unaffected by the U.S.-China deal.
15. Need for Domestic Reforms: India must push States to implement labour and land reforms to promote scalable, cost-effective manufacturing and reduce import dependence on China.

Practice Exercise: SSC Pattern Based



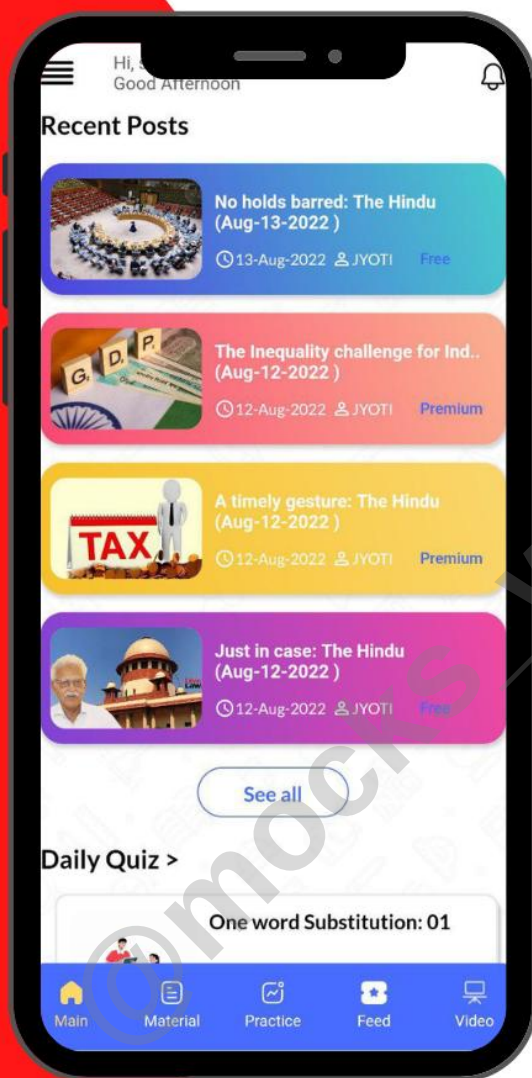
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